Defense Base Act (DBA) insurance is a form of workers' compensation coverage for civilian contractors working overseas under U.S. government contracts. It provides medical treatment and compensation for injuries or death that occur while these employees are performing work outside the United States.

The Defense Base Act (DBA) insurance is required for all employees working for the U.S. government or its contractors outside the U.S., regardless of their nationality, due to the risk of injury or death while performing work for the U.S. government overseas. This includes non-U.S. citizens working on a contract at an overseas consulate.

Here's a more detailed explanation:

- **U.S. Government Contracts:**

  The DBA mandates that all U.S. government contractors and subcontractors secure workers' compensation insurance for their employees working overseas.

- **Broad Coverage:**

  The DBA covers not only U.S. citizens and residents but also "host country nationals" (local hires) and "third-country foreign nationals" who are hired to work in the host country.

- **Risk Mitigation:**

  The DBA provides a safety net for employees who are injured or die while working overseas.

- **Contractor Responsibility:**

  Contractors are responsible for ensuring that all covered employees have adequate DBA insurance.

- **No Citizenship Discrimination:**
  The DBA's requirement for coverage extends to all employees, regardless of their nationality.

In essence, the DBA aims to protect all employees working for the U.S. government overseas, regardless of their citizenship, by providing a comprehensive workers' compensation system.

Source: Google Search